

Sheet 1 - Assumptions for DCF Valuation

Assumptions		
	Value	Source
Revenue Growth	4.2%	Historical Average
EBIT Margin	31.1%	2025 actual
Tax Rate	18.1%	Effective Tax Rate
CapEX % Revenue	2.8%	Calc
Depreciation % Revenue	2.9%	Calc
WACC	8.5%	CAPM estimate
Terminal Growth	2.5%	Long-term GDP
Shares Outstanding	14,900	FY2025 10-K
Operating NWC(% Revenue)	-8.10%	Calc

Notes

●NWC Calculation(2025)●	
Operating Current Assets = Marketable Securities(18,763)+Accounts Receivable(39,777)+Vendor Receivables(33,180)+Inventory(5,718)+Other Current Assets(14,585) =\$ 112,023	
Operating Current Liabilities = 69,860(Accounts Payable)+Other Current Liabilities(66,387)+Deferred Revenue(9,055) = \$145,302	
2025 NWC = -33,279	
●NWC Calculation(2024)●	
Operating Current Assets = 35,228+33,410+32,833+7,286+14,287=123,044	
Operating Current Liabilities = 68,960 + 78,304 + 8,249 = 155, 513	
2024 NWC=-32469	
Operating NWC(%Revenue) Numbers	
2024	Average
-8.30%	-8.15%
2025	Set to -8.10%
8.00%	
Units in millions unless specified otherwise	

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Sheet 2 - Forecasting for DCF

Line item	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	\$ 416,161	\$ 433,640	\$ 451,853	\$ 470,830	\$ 490,605	\$ 511,211
EBIT	\$ 133,050	\$ 134,862	\$ 140,526	\$ 146,428	\$ 152,578	\$ 158,987
Taxes	\$ 20,719	\$ 24,410	\$ 25,435	\$ 26,504	\$ 27,617	\$ 28,777
NOPAT	\$ 112,331	\$ 110,452	\$ 115,091	\$ 119,925	\$ 124,962	\$ 130,210
Depreciation	\$ 11,698	\$ 12,576	\$ 13,104	\$ 13,654	\$ 14,228	\$ 14,825
CapEx	\$ 12,715	\$ 12,141.91	\$ 12,651.87	\$ 13,183.25	\$ 13,736.95	\$ 14,313.90
Change in NWC	\$ -	\$ (1,416)	\$ (1,475)	\$ (1,537)	\$ (1,602)	\$ (1,669)
Free Cash Flow	\$ 111,314	\$ 112,301	\$ 117,018	\$ 121,933	\$ 127,054	\$ 132,390

NWC assumption on previous page, used forecasts here for ratio analysis

Sheet 3 - Discounted Cash Flow Valuation fields

Discounted Cash Flow				
Year		FCF	Discount Factor	Present Value
2026E		\$ 112,301	0.92	\$ 103,504
2027E		\$ 117,018	0.85	\$ 99,402
2028E		\$ 121,933	0.78	\$ 95,462
2029E		\$ 127,054	0.72	\$ 91,679
2030E		\$ 132,390	0.67	\$ 88,046
PV of Forecast Period				\$ 478,092

Terminal Value		
Final Year FCF		\$172,129
Terminal Growth Rate		2.5%
WACC		8.5%
Terminal Value		\$ 2,261,666
PV of Terminal Value		\$1,504,111

Enterprise Value Calculation		
PV of Forecast FCF		\$ 478,092
PV of Terminal Value		\$ 1,504,111
Enterprise Value		\$ 1,982,203

Implied Share Price	
Equity Value	\$2,466,855
Shares Outstanding	14,900
DCF Implied Share Price	\$ 165.56

Equity Value Bridge		
Enterprise Value		\$ 1,982,203
Equity Value		\$ 2,466,855
(Enterprise Value + Cash & Investments - debt)		

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Sheet 4 - Sensitivity Analysis

Base Case Assumptions		
WACC	8.5%	
Terminal Growth	2.5%	

Valuation Conclusion			
DCF Implied Share Price			\$165.56
Current Share Price			\$335.52
Upside/(Downside)			-51%

DCF Sensitivity Analysis

EV/Shares Outstanding = \$165.56			
	Terminal Growth		
WACC	2%	2.5%	3%
7.5%	\$149.13	\$161.23	\$176.01
8.5%	\$127.08	\$165.56	\$144.88
9.5%	\$111.11	\$117.00	\$123.79

Valuation Interpretation
The Discounted Cash Flow Model(DCF) estimates the value of the stock at around \$165.56, based on a 8.5% WACC and 2.5% terminal growth rate. However, in accordance with todays share price of \$333.52 there is a

-51% downside

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This implies that the stock is very overpriced and due to a variety of factors. In accordance with the heavy gap in the valuation, investors are assigning additional value to Apple.

2026's aggressive expansion and structural margin changes.

Heavy influence by consistent free cash flow gains and maintainence of strong operating margins.

The EBIT margin of 31.1% and 4.2% revenue growth rate

Overall, the rise is based on its ecosystem strength, artificial intelligence stance, and several other key factors like market position. Apple additionally seems to be heavily reliant on the discount rate and terminal growth assumptions, the implied stock price changing heavily with a lower WACC and higher terminal growth rate.

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Sheet 5 - Investment summary

Company Overview
Apple Inc.(AAPL) is a global technology company that designs, manufactures, and sells consumer electronics, software, and Services. The company's

Final Recommendation

Investment Thesis	
Strengths	
Strong Free Cash Flow Generation	Apple consistently produces significant operating cash flow, supporting areas like investments and share
High Profitability	Strong operating margins and ecosystem positioning allow Apple to maintain its high profitability
Services Growth	Services segment provides recurring revenue and higher margins compared to hardware products
Capital Return Program	Continued Share Repurchases reduce shares outstanding and support earnings per share growth
Risks	
International Trade	A significant portion of their cash flow comes from unstable international trade economies
Competition	Apple trades in a significantly wide market and failure to stay competitive and innovate could lead to drops in
Regulatory Risks	Similar to international trade, regulations in the app store for certain countries may impact Apple's business

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Based on the DCF analysis, Apple appears to be overvalued in the current market. However, Apple continues to be a very strong pick due to its strong financial position, ability for long-term growth, ecosystem advantages, and positioning in the current market. Investors should consider if its positioning in artificial intelligence, Services, and innovation justifies the heavy market premium it trades under.

Please view the spreadsheet for more clear text and data

References

Apple Inc. Annual Reports(Form 10-K)

Apple Inc.(2025) Annual Report(Form 10-K)

Apple Investor Relations - Financial Information

Apple Inc. Financial Statements, SEC filings, and investor information

U.S. Securi

Apple Inc. Form 10-K filings and company financial disclosures

Yahoo Finance

Apple Inc.(AAPL) historical and current market price information

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